

investments is that the hunger and competition for American capital are keen enough to have convinced country after country to adopt investor-friendly policies. Many countries have loosened or abandoned the limits on how much stock can be owned by foreigners. Exchanges are adopting stricter, more reliable standards. Regulatory agencies are being given real power, including the authority to crack down on insider trading. (Some insider trading rules have actually been enforced!) Prices in most markets are now easy to get on quote machines. Clearing and settling trades are faster and less error-prone. News disclosures and earnings reports have become more timely; the secretiveness that prevailed is quickly giving way to what those in the business call "transparency." Finally, accounting standards are improving.

Germany has been a notoriously difficult market because of its opaque accounting practices. Management's attitude toward investors seems to have been, "Our business is none of your business." But the German establishment finally decided that opening its books could reduce its cost of capital. In 1993 Daimler-Benz decided to list its stock on the New York Stock Exchange, with all of the disclosure requirements that entails. And the German government is taking measures to make investment generally more attractive: reform of a tax system that has favored private over publicly traded companies, the passage of insider trading laws, and simplification of capital structures that, for example, restricted voting shares to nationals.

The rest of the world hasn't quite caught up with the United States yet, but give it time. After all, our present system didn't spring into being full-blown either. A look at the 150-to-200-year history of the U.S. stock market will show that it took a long time to develop shareholder rights, investor communications, protections against stock manipulations, and all the rest. At least overseas exchanges have a model to emulate.

One by-product of the outflow to foreign stocks may not have